

Ania's Coffee Cart

An illustrated guide to the basic accounting conventions,
or how to remember what you read, hear and practise when you study accounting

One small business. One month. 13 accounting entries.
From everyday transactions to month-end adjustments.

How can a business make 2,075 zł in profit and end the month with 10,200 zł in cash?

Assets = Liabilities + Equity

Simplified educational example. VAT and income tax are excluded. Actual accounting requirements depend on the business structure and reporting framework.

Meet Ania

Ania is a barista who wants her own business. In November she opens a small coffee cart near a few office buildings.



WHAT SHE NEEDS TO START

Her savings: 10,000 zł
A bank loan: 5,000 zł
A used espresso machine: 6,000 zł
Rent for a spot, 3 months ahead: 1,500 zł
Coffee beans on credit: 2,000 zł

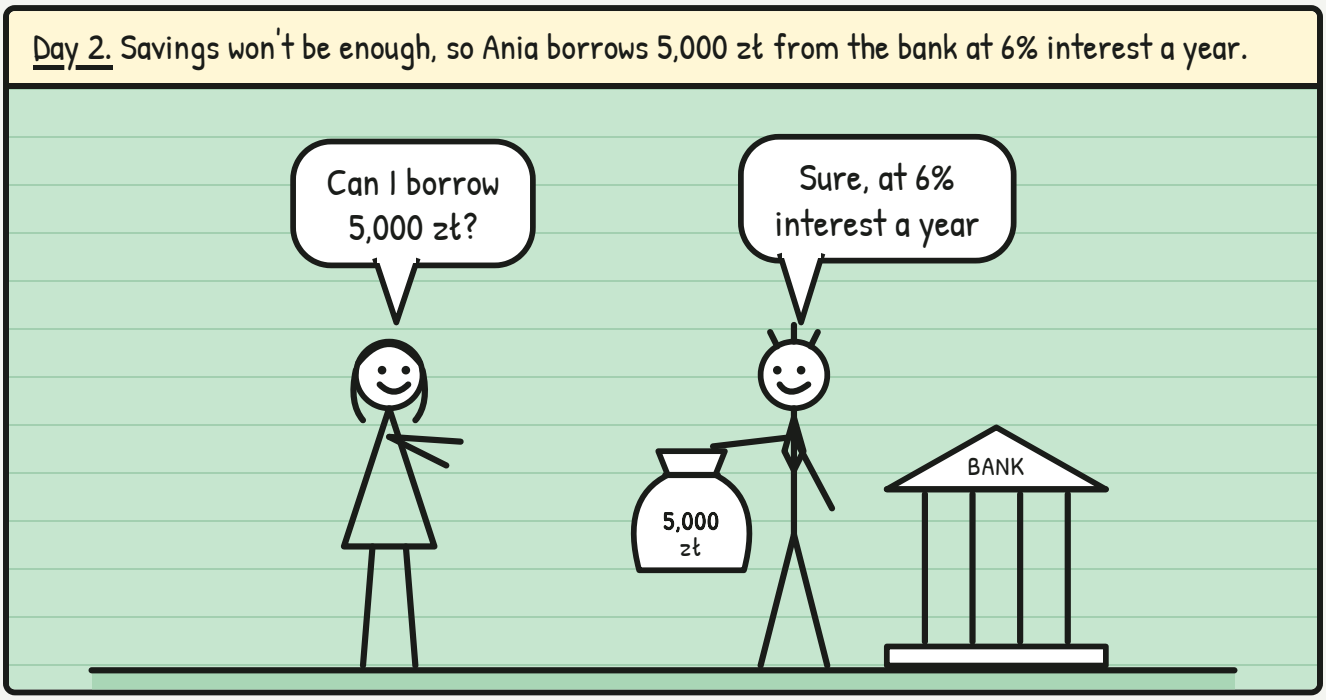
HOW TO READ EACH PAGE

1. What happened
2. Guess: does cash change, profit, both or neither?
3. What the accountant writes (**Dr = left, Cr = right**)
4. Where it lands on the three statements

Borrowing from the bank

PRINCIPLE: DUAL ASPECT CONVENTION

Day 2. Savings won't be enough, so Ania borrows 5,000 zł from the bank at 6% interest a year.



Guess before reading below: does cash change, profit, both or neither?

WHAT THE ACCOUNTANT WRITES

Dr	Cash	5,000
Cr	Bank loan	5,000

WATCH OUT

A loan is not income. Borrowed money must be paid back, so it is a liability, never revenue. And no interest is recorded today: interest builds up over time and is recorded at the end of each month (see strip 13).

WHERE IT LANDS

In short: cash changes, profit doesn't

BALANCE SHEET

Cash +5,000 · Bank loan +5,000

INCOME STATEMENT

no change

CASH FLOW

Financing activities — bank loan received: +5,000 zł

Buying the espresso machine

PRINCIPLE: HISTORIC COST CONVENTION

Day 3. Ania finds a good second-hand espresso machine on Allegro and pays 6,000 zł from the cart's account.



Guess before reading below: does cash change, profit, both or neither?

WHAT THE ACCOUNTANT WRITES

Dr	Equipment	6,000
Cr	Cash	6,000

WATCH OUT

Don't record it at what you think it's worth ("it's a bargain, it's really worth 8,000"). Record what you paid.

WHERE IT LANDS

In short: cash changes, profit doesn't

BALANCE SHEET

Cash −6,000 · Equipment (PPE) +6,000

INCOME STATEMENT

no change

CASH FLOW

Investing activities — purchase of equipment: −6,000 zł

Selling coffee for cash

PRINCIPLE: REVENUE RECOGNITION + MATCHING CONVENTION

Days 6–30. Customers queue every morning. In November Ania sells 4,000 zł of coffee to walk-up customers, paid on the spot. Those drinks used 1,200 zł worth of beans.



Guess before reading below: does cash change, profit, both or neither?

WHAT THE ACCOUNTANT WRITES

Dr	Cash	4,000
Cr	Revenue	4,000
Dr	Cost of sales	1,200
Cr	Inventory	1,200

WATCH OUT

Forgetting the beans' cost would show 4,000 zł profit. Revenue and the costs that produced it belong together.

WHERE IT LANDS

In short: both cash and profit change

BALANCE SHEET

Cash +4,000 · Inventory −1,200 · Profit for the period +2,800

INCOME STATEMENT

Revenue +4,000 · Cost of sales −1,200 → profit +2,800

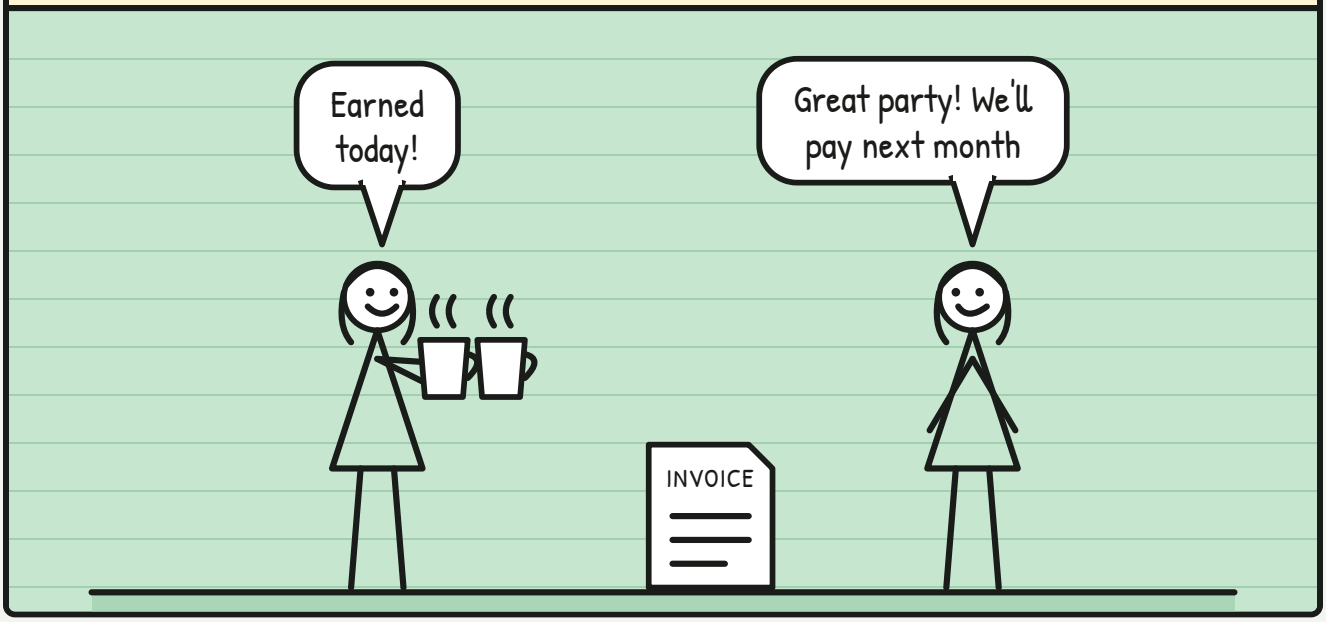
CASH FLOW

Operating activities — cash sales: +4,000 zł

Catering an office party on credit

PRINCIPLE: REVENUE RECOGNITION

Day 20. A nearby office orders coffee for a party: 1,000 zł. Ania delivers today, and payment is due in December. The catering order used another 300 zł worth of beans.



Guess before reading below: does cash change, profit, both or neither?

WHAT THE ACCOUNTANT WRITES

Dr	Trade receivables	1,000
Cr	Revenue	1,000
Dr	Cost of sales	300
Cr	Inventory	300

WATCH OUT

Waiting for the cash before recording revenue is cash accounting. Under accrual accounting, earning is what counts.

WHERE IT LANDS

In short: profit changes, cash doesn't

BALANCE SHEET

Trade receivables +1,000 · Inventory −300 · Profit for the period +700

INCOME STATEMENT

Revenue +1,000 · Cost of sales −300 → profit +700

CASH FLOW

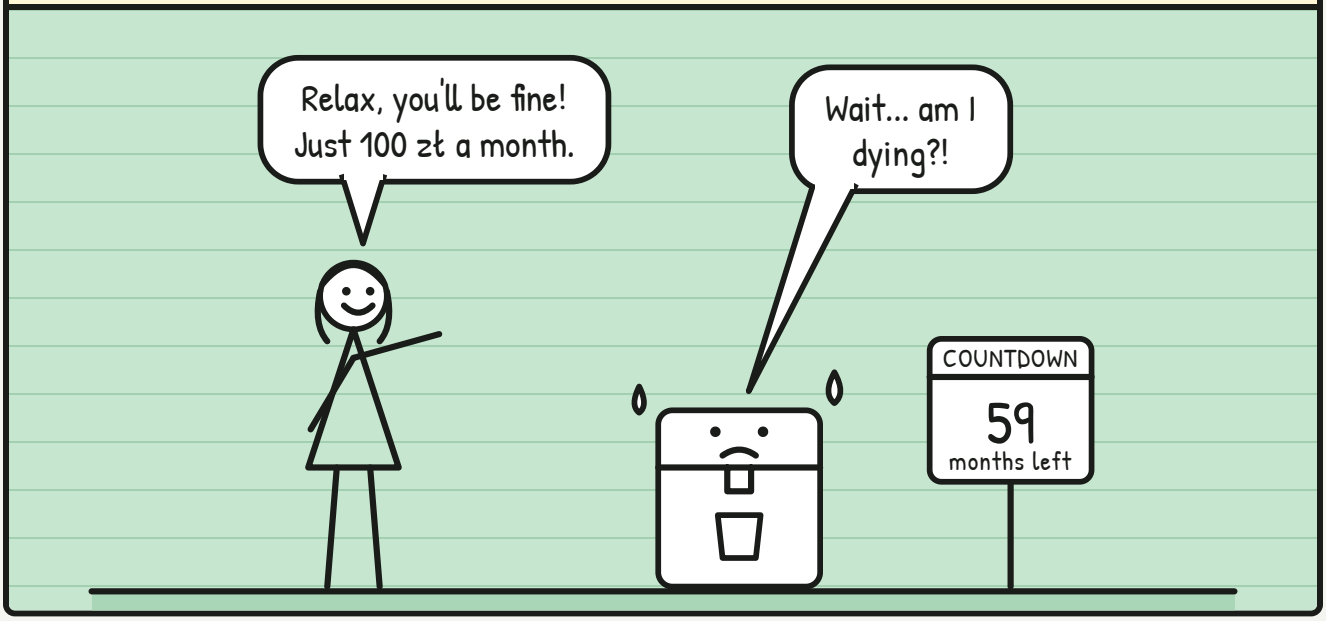
no cash moved

The machine wears out a little

PRINCIPLE: MATCHING + GOING CONCERN CONVENTIONS

MONTH-END ADJUSTMENT · NO CASH MOVES

Remember the espresso machine from strip 3? 30 November. For this example, we assume the machine will be used for 5 years (60 months) and will have no residual value at the end.



Guess before reading below: does cash change, profit, both or neither?

WHAT THE ACCOUNTANT WRITES

Dr	Depreciation expense	100
Cr	Accumulated depreciation	100

WATCH OUT

Depreciation uses no cash. That's why profit and cash are different numbers. And a book value of zero after 5 years doesn't mean the machine is worthless on the market, or that it stops making coffee.

WHERE IT LANDS

In short: profit changes, cash doesn't

BALANCE SHEET

Accumulated depreciation −100 · Profit for the period −100

INCOME STATEMENT

Depreciation expense −100 → profit −100

CASH FLOW

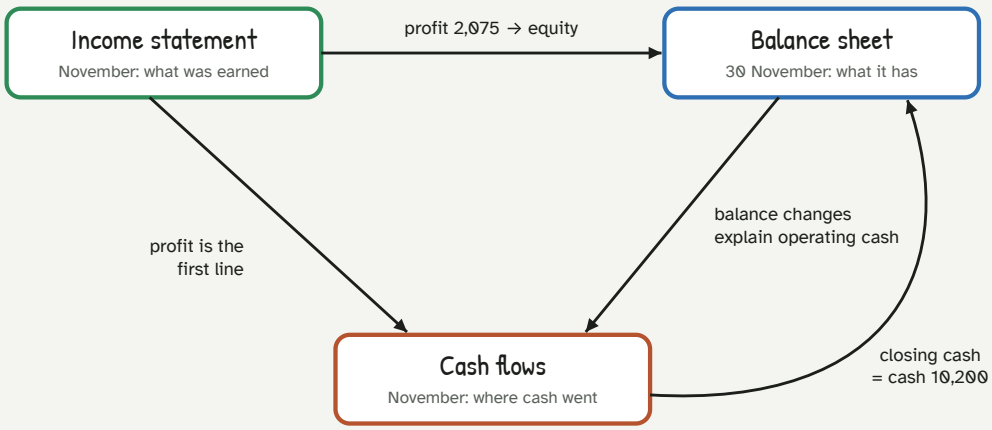
no cash moved

All 13 entries

Each line is one page of the full guide. Yellow rows are month-end adjustments: no cash moves.

	WHAT HAPPENED	CASH, ZŁ	PROFIT, ZŁ
1	Opening the business account	+10,000	–
2	Borrowing from the bank	+5,000	–
3	Buying the espresso machine	−6,000	–
4	Paying rent three months ahead	−1,500	–
5	Buying beans on credit	–	–
6	Selling coffee for cash	+4,000	+2,800
7	Catering an office party on credit	–	+700
8	The office pays its bill	+1,000	–
9	Paying the barista	−800	−800
10	Paying part of the bean bill	−1,500	–
11	Month end: using up a month of rent	–	−500
12	The machine wears out a little	–	−100
13	Interest builds up on the loan	–	−25
	November total	**10,200**	**2,075**

Why profit isn't cash



Why profit isn't operating cash

November · indirect method

Profit for November	2,075 zł
+ Depreciation (non-cash expense)	+100 zł
– Inventory still on hand	−500 zł
– Rent paid in advance	−1,000 zł
+ Unpaid supplier and interest bills	+525 zł
Operating cash flow	**1,200 zł**

From operating cash to cash in the bank

November

Operating cash flow	1,200 zł
Investing: machine purchase	−6,000 zł
Financing: owner + bank	+15,000 zł
Closing cash	**10,200 zł**

Three different numbers, all correct: profit 2,075 zł, operating cash flow 1,200 zł, cash in the bank 10,200 zł. The cash flow statement can also be shown with the direct method; this is the indirect one.



Want the full story?

This was a few pages. The full guide has all 13 entries, the 12 accounting ideas behind them, debit and credit in one minute, the accounting cycle and the final statements.

Next step

- ▶ Try the interactive version: guess before you look
- ▶ Download the full PDF guide (21 pages)
- ▶ Save this post for later

Link in the comments.

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